

A Pre-feasibility study for the establishment of a tourist village and chalets in Ajloun



2017



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1. Executive summary

The Investment Commission seeks to develop an integrated strategy to provide a business environment to develop local, regional and international investments in various economic sectors. The Commission has been keen on preparing an investment map that includes all governorates with their development projects, in order to ensure sustainable economic development. Consequently, an investment map has been developed for Ajloun Governorate, and identified that small and medium projects are most suitable for the nature of the area.

One of these opportunities is the establishment of a tourist village and chalets, providing visitors with the opportunity to enjoy the beautiful nature and scenery.

This project aims to attract tourists and those wishing to relax, due to the urgent need to establish these tourist villages in the region and invest in the competitive advantage of the area.

Table 1 economical indicators

Indicator	
Total Investment Cost (Jordan Dinars)	1,786,774
Internal Rate of Return (IRR)	%24.08
Pay-Back Period (Years)	5
Net Present Value (Jordan Dinars)	1,228,087
Job Opportunities provided by the Project	22
Total Revenues (For 10 Years)	8,917,351
Total Operating Expenses (For 10 years)	3,734,065
Total Net Profit (For 10 years)	2,703,068

Key Highlight of Jordan

Jordan Hashemite Kingdom area is 89342 Kilometers with a population exceed 9.8 Millions distributed among 12 Governorates.

Jordan is bounded by Saudi Arabia, Iraq, Syria and Palestine from the South, East, North and west respectively. Jordan climate is mostly arid desert with rainy season between November to April Months.

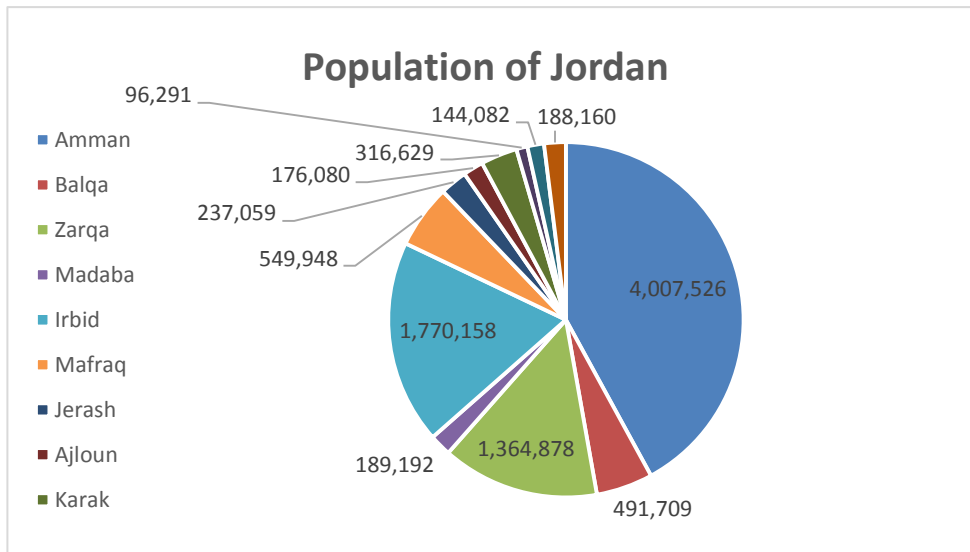
Jordan is a free market economy, ranked as the fifth freest economy in the MENA region in the Index of Economic Freedom. Its free market economy enjoys strong partnerships amongst its neighboring country

as well as Europe and the USA. Jordan is a signatory of several bilateral and multilateral trade agreements such as (Free Trade Agreement with the US and the EU, a Free Trade Agreement with the EFTA states, an FTA with Singapore, A member of the Greater Arab Free Trade Agreement (GAFTA) and a signatory of the Aghadir Agreement. Looking at the range of countries these agreements cover and facilitate trade between, one is confident to say that Jordan has business gateways and partnerships across the globe.

Population Overview

Based on the latest surveys done by Department of Statistics (DOS) in 2017, total number of population has reached around 9.814.995 with an increase rate of 2.88% from 2016 year, figure below summarizes the population distribution among the kingdom governorates.

Figure 1 Population of Jordan



Department of Statistics (DOS), 2015

Moreover, and based on the latest survey conducted by (DOS) which related to population nationality distribution over the governorates, it was found that total Non-Jordanian residents constitutes around 30% of the total population. Half of these are Syrians (1.3 Million) concentrated mainly in Amman Capital (436 Thousand) then Irbid (343 Thousand), Mafrq at 208 Thousand and Zarqa at 175 Thousand.

Jordan prides itself in its youthful population with 35% of ages below 15 years old and only 4% with ages above 65 years old. Table below summarizes population distribution of Jordanians according to Age Group:

Table 2 Population Distribution according to Age Group

Age Group	Population %	Males	Females
0-14 Years	%35.04	%19.2	%18.2
15-64 Years	%61.02	%30.7	%28.6
More than 65 Years	%3.94	%1.6	%1.6

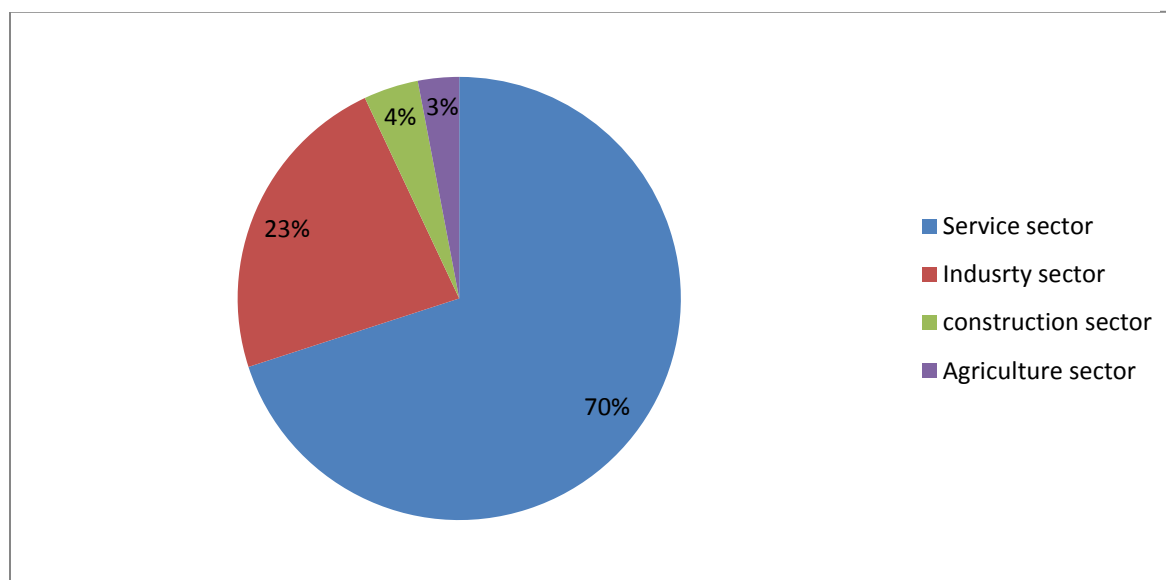
Department of Statistics (DOS), 2015.

Overview of Jordan Economy

Classified as an upper middle economy by the World Bank and as a country of High Human Development by the UNDP, Jordan is an important financial power in the Middle East. Its small market witnessed growth in the last two decades since King Abdullah II accessed the throne. Jordan's GNI per capita has increased in the last four years due to the basket of economic reforms that were enacted in the recent decade such as (the new Income Tax Law, Public Private Partnership Law and Investment Law). These laws aim to encourage the participation of the private sector in the Kingdom's economic development and provide an enabling legislative environment for current and new investment opportunities.

The Jordanian economy is overwhelmingly services oriented and its contribution in the GDP is 68.1%. The contribution of the industrial sector is 22.4%, the construction sector is 4.2% and the agricultural sector is 2.9%. These contributions are aimed to increase to (27.4%), (5.8%) and (3.4%) respectively and that of the service sector is due to decrease according to Jordan 2025 vision.

Figure 2 Sectors Contribution to Jordan's Economy



Jordan's exports include variety of textiles, potassium, phosphates, fertilizers, vegetables and pharmaceutical products. While it's main imports are crude and refined petroleum. Distinguished by its strategic location, on the crossroads between Asia, Africa and Europe with strong connections to the Levant and the GCC, Jordan has a regional market of interest that represents US\$3.8 trillion market and comprising 380 million consumers.

Jordan infrastructure ranks comparatively well (38th out of 148 comparable economies), with an extensive 8000 KM road network connecting Jordan domestically and externally The new Queen Alia International Airport and the Port of Aqaba are the major gateways to the international market. In addition to some mega projects such as the Red- Dead Sea Canal and the national railway network that will be developed to position Jordan as a hub for regional commerce.

Jordan banking system is quite sophisticated, resilient and in compliance with international standards, making it very attractive and trustworthy to investors. This is reflected in the fact that 50% of equity in licensed banks in Jordan is held by non-Jordanians, and non residents' deposits in Jordanian banks witnessed a steady growth of 19.2%.

Moreover, realizing the value of MSMEs to drive economic growth, the government has developed the national Strategy for the encouragement of entrepreneurship and the development of micro small and medium sized enterprises for 2015-2019. This shows the commitment of the Jordan government to enhance the private sector development and leveraging the country's strong human capital.

Jordan prides itself in its youthful population. It's the country most valuable capital. A tech savvy well educated and trained workforce attracts a lot of investors to Jordan. More than 20.4% of Jordan's GDP is dedicated to the education and capacity building for the labor force, this has resulted in securing a 91% literacy rate and enabled Jordanians to be among most hired and qualified middle-eastern workforce.

Such solid, diverse and resilient characteristics of the Jordanian economy and investment scene position Jordan as a competitive investment destination.

Major Economic Indicators

- **GDP Growth**

The Jordanian economy slowed and reached 2.4 percent in 2015 compared to growth rate of 3.1 in 2014 and similar to MENA growth rates.

The growth also slowed for trade, restaurants and hotels; manufacturing; transport; and electricity and water. Meanwhile, finance, insurance, and business services advanced at a faster pace.

- **Inflation rate**

Inflation rate decreased to 0.9 in 2015 after 2% decline in the previous year. Inflation Rate in Jordan averaged 3.1 percent from 2011 until 2015.

- **Unemployment**

The unemployment rate in Jordan was recorded at 13 percent in 2015, comparing to 11.9 percent a year earlier. This increase due to the current instability in the labor market structure as well as high competition from low cost foreign labors especially from Syria.

- **External Sector**

A number of risks manifested in 2015, the closure of land trade routes with Syria and Iraq and the deepening instability in the region adversely impacted many external sector indicators such as trade, tourism and direct Investment.

Moreover, loans disbursements increased by JD 545.3 million, due to the use of the International and Arab Monetary Funds (IMF and AMF) credit facilities. As an outcome of these developments, the overall balance of the balance of payments registered a surplus of JD 328.7 million in 2015, compared with a surplus of JD 1,550.7 million in 2014.

Further, net international investment position (IIP) witnessed an increase in the Kingdom's net obligations to abroad; to reach JD 24,357.5 million, compared to a net obligation of JD 22,578.8 million at the end of 2014 as a result of the increase in the stock of external financial assets and liabilities of all resident economic sectors to reach JD 18,657.9 million and JD 43,015.5 million; respectively.

External Debt in Jordan increased to 9390.50 JOD Million in 2015 from 8030.10 JOD Million in 2014. External Debt in Jordan averaged 5433.67 JOD Million from 1988 until 2015, reaching an all time high of 9390.50 JOD Million in 2015 and a record low of 3640.20 JOD Million in 2008.

Investment Climate in Jordan

Investment in Jordan is considered as one of the vital sources to boost the economy considering that Jordan's economy is among the smallest in the Middle East, with insufficient supplies of water, oil, and other natural resources, underlying the government's heavy reliance on foreign assistance.

The country's location, supported by myriad free trade agreements (FTAs) offering access to 1.5bn consumers, enables the kingdom to be a strategic trade route to many of its neighboring countries and regions.

Jordan aspires to create a competitive investment destination capitalizing on its many advantages mentioned above. The government focused its efforts to implement significant advances in structural and legal reform. These efforts are represented in the new Investment Law of 2014, the tax law, in addition to other endeavors related to providing greater access to credit for MSMEs, and by providing greater investment incentives to specific priority sectors identified by the new Investment law and the Jordan 2025 vision.

Furthermore, in its endeavor to enhance the business environment, several geographically industrial states were created across the kingdom. These range in type to include (industrial estates, free zones and special economic zones). Under the new Investment Law, these zones are given a number of incentives that include a tax rate of 0% on exports, sales tax, import duties, social service tax, dividends tax and a 5% income tax from all economic and manufacturing activities undertaken in the development zones. As for the investments in Free Zones, they enjoy Exemptions from customs duties, income tax exemptions and exemptions from land and building taxes among others. Both development and free zones also enjoy facilitations regarding visa and residency permits for investors and workers in addition to Repatriation of capital and profits in a convertible currency. Such estates have succeeded in attracting relatively large amounts of FDI to Jordan.

Key National Investment Priorities:

Jordan Investment commission worked on taking a leading role in the application of government policies to promote and attract domestic and foreign investments and create an investment environment that stimulates economic performance through investment promotion strategy launched in 2016

Jordan investment commission aims to:

- Regulating the special provisions governing Development Zones and Free Zones in the Kingdom and developing them placing them in service of the national economy as well as monitoring their functioning.
- Developing plan and programs to stimulate domestic and foreign investments.
- Establishing trade centers and organizing exhibitions as well as opening markets and organizing trade missions in order to promote national products, in addition to marketing and development of national exports and encouraging investment.

- Taking appropriate decisions related to private or public institutions to improve Investors' confidence in Jordan's investment environment.

2. Market analysis

Project description

The idea of the project is to establish a tourist village in Ajloun, which is characterized by a beautiful nature and mild climate during the summer. Whereby the idea of the project stemmed from the urgent need to establish such villages in the region to invest in the competitive advantage in the area.

The area is also characterized by having a nature reserve and being an attraction for bird hunters. Thus, the establishment of such a project will attract tourists and those who wish to relax in this traditional village that suits the nature of Ajloun. The project will consist of:

- Hotel Village: consists of (25) wooden cabins.
- Restaurant: with a capacity of (50) people.
- Small shopping center.
- Climbing service.

Project Objectives

The objectives of the project are summarized as follows:

- Increase the level of tourism and investment sectors in the region
- Attract tourists and encourage investments in the province
- Provide jobs for the people of the region
- Achieve a profitable return to the owners

Proposed Service

The proposed project will provide visitors and tourists with the necessary comfort, offer tours to all of Ajloun's archaeological sites and provide a comfortable environment for relaxation and meditation. It will also include a restaurant as well as a mountain climbing service.

Target segments

يستهدف المشروع المقترح الفئات التالية:

- السياح الأجانب.
- الزوار المحليين.

The proposed project will target the following segments:

- Foreign tourists.
- Local visitors.

Market Size Analysis

The following table shows the number of local and foreign visitors:

Table 3 Number of Local and Foreign Visitors (2015-2014)

Month	2014			2015		
	Foreign	Jordanian	Total	Foreign	Jordanian	Total
January	3,154	1,796	4,950	1,995	1,805	3,800
February	2,963	2,887	5,850	1,771	2,229	4,000
March	6,317	15,433	21,750	3,061	18,039	21,100
April	10,334	59,516	69,850	4,060	58,840	62,900
May	6,346	8,364	14,710	2,740	16,610	19,350
June	5,545	8,105	13,650	3,430	5,070	8,500
July	4,205	5,195	9,400	2,940	9,460	12,400
August	6,690	12,810	19,500	4,200	17,700	21,900
September	4,871	6,679	11,550	1,750	24,250	26,000
October	7,042	7,508	14,550	3,290	7,560	10,850
November	4,145	2,255	6,400	2,748	2,802	5,550
December	3,500	2,050	5,550	2,844	3,263	6,107
Total	65,112	132,598	197,710	34,829	167,628	202,457

The Ministry of Tourism and Antiquities.

The following table shows the number of local and foreign visitors for the first three months of 2016 according to the latest statistics of the Ministry of Tourism and Antiquities:

Table 4 Number of Foreign and Local Tourists to Governorate

Month	Number of visitors
January	1,291
February	2,420
March	3,200

Total	6,911
--------------	--------------

1.1 Competitors Analysis

Ajloun Accommodation Facilities (Competitors):

- Jabal Al Qala'a Hotel (2 stars).
- Ajloun Hotel (2 Stars).
- Ajloun Nature Reserve Resort (managed by the Royal Society for the Conservation of Nature).
- Ashtfina Tourist Resort.
- Rural Houses / Abeen Abelin Ajloun Mountains Tourism Association.

The following table shows the number of hotels / rooms in Ajloun according to statistics of the Ministry of Tourism and Antiquities - Statistical Bulletin 2016:

Table 5 Hotels / Rooms in Ajloun

Ajloun	No. of Hotels	Suite	Rooms	Beds
Two stars	2	0	35	74
Tent	1	–	15	50
Total	3	0	50	124

Ministry of Tourism and Antiquities - Statistical Bulletin 2016

Project Capacity

Capacity of the proposed project will be as follows:

- The project will consist of 25 equipped chalets
- The restaurant capacity will be 50 people

Projected Occupancy Rate

The following table shows the projected occupancy rate for 10 years from the beginning of the project for all project facilities

Table 6 Productivity Rate (2018-2027)

Year	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Occupancy rate	60%	60%	60%	65%	70%	70%	75%	80%	80%	85%

Price Analysis and Pricing Policy

Based on a market survey, the prices of hotels in Ajloun and surrounding areas. The following rates have been identified (bed & breakfasts):

- **Ajloun Hotel:**

Single: JD 21/ night

Double: JD 27/ night

- **Jabal Al Qala'a Hotel:**

Single: JD 25/ night

Double: JD 35/ night

- **Ajloun Nature Reserve Resort:**

Single: JD 55 / night

Double: JD70 / night

Projected prices based on market prices:

- Room: JD 60 / night

- Restaurant: JD 12/ meal

- Indoor and Outdoor climbing service: JD 18/ person

An annual increase of 3% was assumed on the above prices.

Projected Revenues

Table 7 Project Revenues during 2018 to 2027

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Revenue of rooms	327,600	337,428	347,551	387,809	430,169	443,075	488,964	537,209	553,325	605,545
Revenues of restaurant	131,040	134,971	139,020	155,124	172,068	177,230	195,586	214,884	221,330	242,218
Climbing revenues	196,560	202,457	208,531	232,685	258,102	265,845	293,379	322,325	331,995	363,327
Total revenue	655,200	674,856	695,102	775,618	860,339	886,149	977,929	1,074,418	1,106,650	1,211,090

3. Technical Analysis

Required Human Resources

Table 8 the required labor for the project

Job title	No.
Indirect staff	
General Manager	1
Accountant	2
Marketing Officer	1
Guard	1
Total indirect staff	5
Receptionist	2
Chef	1
Sous Chef	2
Waiter	4
Cleaners	8
Total direct staff	17
Total Staff	22

Job Description:

- **General Manager:** will be responsible for proposing policies and plans, representing the company and planning and managing work process, follow-up on the implementation of plans and programs in accordance with the policies and objectives of the project in the best way to achieve the best interests of the employers. He/she will also oversee the management of the administrative and financial matters in accordance with the instructions. In this regard, managing employees and the development of their skills, in addition to developing procedures and ensuring the requirements of occupational and public safety and health are met.
- **Accountant:** will be responsible for calculating costs of the project in addition to the introduction of all accounting registers on the books of accounts and the book of daily register.

- **Receptionist:** will receive guests in a professional manner and meet their needs, in addition to receiving and transferring daily phone calls to and from the tourist village and record the names of guests at the time of entry and exit.
- **Chef:** will complete all cooking and preparation of food.
- **Sous Chef:** will perform a variety of tasks, such as preparing the basic ingredients of soups, salads, meat, vegetables, sweets, beverages, etc. and maintain a high level of hygiene in the work environment.
- **Waiter:** will greet guests in a professional way, in addition to introducing menus and presenting them to customers in a professional way.
- **Cleaners:** will be responsible for cleaning, polishing and disinfection of cabins, facilities, bathrooms, entrances, walls and stairs.

Site Analysis

The Proposed location is in Al Sowan area, one of the areas that were announced in 2014 as development area.

Technical Requirements Analysis

1.1.1 Land and Construction Works

The project will be constructed on an area of 8000 m². The following table shows the required land:

Table9 Required Land for the Project

Land	Area sq.m
The required land	8,000

Source: Land registration – Al Mafrq

The following table shows the required construction work for the project:

Table 10 Required Construction Work

Construction work	Area (m ²)
Buildings Works	4,000
Building design and blueprints	4,000
Excavation	8,000

Construction work	Area (m ²)
Asphalte work	700
Soil test	1
Other works	7,000

Machinery and Equipment

The following table shows the required machinery and equipment for the project:

Table 11 Machinery and Equipment

Machinery and equipment	Quantity
Fire-fighting equipment	1
Swimming pool	1
Air Conditioners for administration	5
42-inch screen	1
Washers	1
Steam Iron	5
Swimming pool	1

Furniture

Table 12 Required Furniture for the Project

Furniture	Quantity
Beds	25
Televisions for cabins	25
Refrigerators for cabins	25
Cabin Furniture	25
Air Conditioners	25
Food kits for cabins	25
Tables for the restaurant	10
Chairs for therestaurant	50

Vehicles and Transportation

The following table shows a list of vehicles and means of transportation required for the project

Table 13 Vehicles and Transportation

Vehicles and modes of transportation	Quantity
A vehicle for transportation	1

4. Financial Analysis

The Financial Part illustrates all the assumptions which were used when we have developed the study including project expenses related to capital expenditures, operating expenses (Fixed and Variable costs) followed by illustrating project revenues.

Assumptions

Calculation Assumptions:

- The weighted average cost of capital used in the study is 12.72% as it was calculated considering risk free and debt Interest rates as well as Market risk premiums to consider alternative opportunity costs for investor.
- Income tax on the net project income is 5 % during the life time of the project.
- Project working capital has been estimated and added to project cash outflows at the beginning of the project and annual increase in working capital has been also estimated and added to the operating expenses then net working capital has been added to total cash inflows at the end of project lifetime.

The time span for the financial study is 10 years starting from 2018, where annual increase rates have been estimated as per the tables below:

Assumptions

Table 14 General Assumptions

General Information	
All Financial Numbers (Currency)	Jordan Dinars
Financial Study Time Span (Years)	10
Expected Project First Operating Year	2018
Last Year in the Financial Study	2027

Table 15 Currency Exchange Rates

Exchange Rates	Jordan Dinars
American Dollar	0.708
Euro	0.760

Table 16 Annual Growth Rates Assumptions

Annual Growth Rates	Average
Annual Population Growth Rate	2.20%
Annual Sales Price Increase Rate	3.00%
Annual Expenses Increase Rate	3.00%
Annual Increase Rate in Employees Salaries	4.1%

(1) and (2) Source: Inflation Rates, Central Bank of Jordan

(3) Source: Social Security

Table 17 Expenses Assumptions

Expenses Assumptions	
Raw Materials and Packaging from Total Revenues	15%
Utilities Expenses from Total Revenues	7.5%
Maintenance Expenses from Total Revenues	1%
Depreciation Expenses from Total Revenues	0.5%
Insurance Expenses from Total Assets Value	0.50%
Marketing Expenses from Total Revenues	3%

Table 18 Income Tax Assumptions

Income Tax Assumptions	Value
Average Income Tax in Jordan(1)	%20
Income Tax Deduction(2)	%80
Income Tax after Deduction	5%
Compulsary Reserve Percentage(3)	10%
Other Assumptions	
Annual Monthly Salaries have been calculated after multiplying monthly salaries	16

Table 19 : Weighted Average Cost of Capital

Weighted Average Cost of Capital	
Average Return on Risk Free Investment	%6.50
Return to Debt Maturity	%9.48
Market Risk Premium	%9.93
Income Tax Rate	%5
Bets	1.00
Equity	893,387
Loans Value	893,387
Loans	
Cost of Borrowing before Tax	%9.48
Cost of Borrowing After Tax	%9.01
Loans Value	893,387
Loans Percentage	%50
Equity	
Cost of Equity	%16.4
Equity Value	893,387
Equity Percentage	%50
Gross	
Project Value	1,786,774
Proportion of the project	%100
Weighted Average Cost of Capital	%12.72

Capital Expenditures

The estimated cost of the project is 1,768,774 JD and it covers land costs, construction works, machinery and equipment, furniture, pre-operating expenses and working capital. The following tables summarize the details of these expenses:

Table 20 Land Capital Expenditure

Land	(Jordan Dinar/Meters Square) Cost	Area (M2)	Cost
Required Land	35	8,000	280,000
Cost			280,000

Table 21 Construction Work Capital Expenditure

Description	Cost (JOD per Squared Meters)	Area (Squared Meters)	Gross Cost Jordan /
Buildings Works	250	4,000	1,000,000
Building design and blueprints	7	4,000	28,000
Digging	5	8,000	40,000
Paving the ground	12	700	8,400
Soil examination	200	1	200
Other works	10	7,000	70,000
Total			1,146,600

Table 22 Machinery and Equipment Capital Expenditure

Machinery and equipment	Quantity	Cost / JD	Total Cost
Fire-fighting equipment	1	500	500
Swimming pool	1	15,000	15,000
Air Conditioners for administration	5	250	1,250
42-inch screen	1	250	250
Washers	1	3,000	3,000
Steam Iron	5	75	375
Total (JD)			20,375

Table 23 Furniture Capital Expenditure

Furniture and furnishings	Quantity	Cost / JD	Total Cost
Beds	25	500	12,500
Televisions for cabins	25	200	5,000
Refrigerators for cabins	25	100	2,500
Cabin Furniture	25	700	17,500
Air Conditioners	25	250	6,250
Food kits for cabins	25	20	500
Tables for restaurant	10	150	1,500
Chairs for restaurant	50	50	2,500
Total			48,250

Table 24 Transporation and Vehicles Capex

Transporation and Vehicles	Quantity	Unit Cost/JOD	Total Cost/JOD
Pick up	1	23,400	23,400
Total			23,400

Table 25 Pre Operating Expenses

Pre-operating expenses	Estimaited cost (JD)
Governmental fees	1,500
Transportation	1,500
Marketing	1,500
Training	2,500
Total	7000

The initial working capital reflects the project's amounts needed to cover all the expenses during operation until the project starts generating income, the following table shows the components of the initial working capital:

Table 26 Working Capital

Working Capital	No. of Months	%	Estimated Cost (JD)
Operating expenses	3	%25	71,843
General and administrative expenses	3	%25	3,617
Marketing expenses	3	%25	4,095
Indirect Salaries	3	%25	19,160
Total			98,715

Table 27 Expenses Summary

Capital expenditure summary	Cost (JD)	Contingency	Cost (JD)	%
Land	280,000	10%	308,000	%17.2
Construction works	1,146,600	10%	1,261,260	%70.6
Machinery &Equipment	20,375	10%	22,413	%1.3
Furniture	48,250	10%	53,075	%3.0
Vehicles	23,400	10%	25,740	%1.4
Pre-Operating Expenses	7,000	10%	7,700	%0.4

Capital expenditure summary	Cost (JD)	Contingency	Cost (JD)	%
Working capital	98,715	10%	108,587	%6.1
Total (JD)	1,624,340		1,786,774	100%

Sources of Funding

The financing structure of the project consists of loans and Equity. The investment cost of this project is estimated at (1,786,774) JD, where 50% of the project will be financed through loans (893,387) JD, and the remaining (50%) through (Equity) with (893,387) JD. The following table summarizes the general structure of the required financing:

Table 28 Sources of Funding

Funding Sources	Amount	Percentage
Equity (Self Financing)	893,387	%50
Loans	893,387	%50
Total	1,786,774	%100
Use of Fund	Value	Ratio
Capital Expenditures	1,670,488	%93.49
Pre-Operating Expenses	7,700	%0.43
Working Capital	108,587	%6.08
Total	1,786,774	%100.00

Operating Expenses

The following table summarizes the expected operating expenses for the proposed project (2018-2027):

Table 29 Operating Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Raw Materials	98,280	101,228	104,265	116,343	129,051	132,922	146,689	161,163	165,998	181,664
Utilities	49,140	50,614	52,133	58,171	64,525	66,461	73,345	80,581	82,999	90,832
Maintenance	6,552	6,749	6,951	7,756	8,603	8,861	9,779	10,744	11,067	12,111
Disposables	3,276	3,374	3,476	3,878	4,302	4,431	4,890	5,372	5,533	6,055
Direct Salaries	104,000	108,264	112,703	117,324	122,134	127,141	132,354	137,781	143,430	149,310
Others	26,125	27,023	27,953	30,347	32,862	33,982	36,706	39,564	40,903	43,997
Total	287,373	297,252	307,480	333,819	361,477	373,799	403,763	435,205	449,928	483,969

General and Administrative Expenses

The following table summarizes the expected general and administrative expenses for the proposed project (2018-2027):

Table 30 General and Administrative Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Telecom	1,200	1,236	1,273	1,311	1,351	1,391	1,433	1,476	1,520	1,566
Hospitality	600	618	637	656	675	696	716	738	760	783

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Stationary and Printing	250	258	265	273	281	290	299	307	317	326
Transportation	750	773	796	820	844	869	896	922	950	979
Training	2,000	2,060	2,122	2,185	2,251	2,319	2,388	2,460	2,534	2,610
Insurance	8,352	8,603	8,861	9,127	9,401	9,683	9,973	10,272	10,581	10,898
Miscellaneous	1,315	1,355	1,395	1,437	1,480	1,525	1,570	1,618	1,666	1,716
Total	14,468	14,902	15,349	15,809	16,284	16,772	17,275	17,793	18,327	18,877

Marketing Expenses

Table 31 Marketing Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Marketing Expenses	16,380	16,871	17,378	19,390	21,508	22,154	24,448	26,860	27,666	30,277

Human Resources

The total annual salaries and monthly wages has been estimated on 16 months for the purpose of considering annual increments on salaries as well as payments related to social security and health insurance,... etc.

The following table summarizes the expected annual salaries and wages, considering annual increment on salaries as per the income statement:

Table 32 Expected monthly salaries (2018-2027)

Job Title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Indirect staff										
General Manager	2,500	2,603	2,709	2,820	2,936	3,056	3,182	3,312	3,448	3,589
Accountant	600	625	650	677	705	734	764	795	827	861
Marketing Officer	900	937	975	1,015	1,057	1,100	1,145	1,192	1,241	1,292
Guard	190	198	206	214	223	232	242	252	262	273
Direct staff										
Receptionist	300	312	325	338	352	367	382	397	414	431
Chef	1,500	1,562	1,626	1,692	1,762	1,834	1,909	1,987	2,069	2,154
Sous Chef	800	833	867	902	939	978	1,018	1,060	1,103	1,149
Waiter	300	312	325	338	352	367	382	397	414	431
Cleaners	200	208	217	226	235	245	255	265	276	287

Table 31 Annual Expected Salaries

Job Title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Indirect staff										
General Manager	40,000	41,640	43,347	45,124	46,975	48,901	50,905	52,993	55,165	57,427
Accountant	19,200	19,987	20,807	21,660	22,548	23,472	24,435	25,436	26,479	27,565
Marketing Officer	14,400	14,990	15,605	16,245	16,911	17,604	18,326	19,077	19,860	20,674
Guard	3,040	3,165	3,294	3,429	3,570	3,716	3,869	4,027	4,193	4,364

Job Title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total Indirect	76,640	79,782	83,053	86,458	90,003	93,693	97,535	101,534	105,697	110,030
Direct staff										
Receptionist	9,600	9,994	10,403	10,830	11,274	11,736	12,217	12,718	13,240	13,782
Chef	24,000	24,984	26,008	27,075	28,185	29,340	30,543	31,796	33,099	34,456
Sous Chef	25,600	26,650	27,742	28,880	30,064	31,296	32,579	33,915	35,306	36,753
Waiter	19,200	19,987	20,807	21,660	22,548	23,472	24,435	25,436	26,479	27,565
Cleaners	25,600	26,650	27,742	28,880	30,064	31,296	32,579	33,915	35,306	36,753
Total Direct	104,000	108,264	112,703	117,324	122,134	127,141	132,354	137,781	143,430	149,310
Grand Total	180,640	188,046	195,756	203,782	212,137	220,835	229,889	239,315	249,126	259,341

Depreciations

The following tables illustrate cost of Capex and Depreciation rates:

Table 33 Capex and Depreciation Expenses

Capex Cost and Annual Depreciation Rates	Cost (JOD)	Depreciation	Annual Additions
Land	308,000	%0.0	%0.0
Construction Works	1,261,260	%5.0	%0.0
Machinaries	22,413	%10.0	%2.0
Furniture	53,075	%10.0	%5.0
Vehicles	25,740	%10.0	%0.0
	1,670,488		

Table 34 Depreciations and Additions on Construction Works

Capex, Annual Additions and Depreciations	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total Fixed Assets	1,670,488	1,673,590	1,676,833	1,680,225	1,683,773	1,687,484	1,691,366	1,695,427	1,699,676	1,704,122
Total Depreciation Expenses	73,186	73,496	73,820	74,160	74,514	74,885	75,274	75,680	76,105	76,549
Total Accumulated Depreciation	73,186	146,682	220,502	294,662	369,176	444,061	519,335	595,014	671,119	747,668
Total Additions	0	3,102	3,244	3,392	3,548	3,711	3,882	4,061	4,249	4,446
Total Net Book Values	1,597,302	1,526,908	1,456,331	1,385,564	1,314,597	1,243,423	1,172,031	1,100,412	1,028,557	956,454

Loan

The table below summarizes all details related to the loan such as annual installments and payment methods for the remaining amount of the loan for each year of the project.

Table 35 Loan Details

Loan Value	1,456,270
Annual Interest Rate	9.48%
Loans Period	5
Loan Starts at year:	2018
Annual Payment	232,551
Number of Payments	5

Year	Annual Payment	Interest	Capital	Loan Remaining Value
2018				893,387
2019	232,551	84,693	147,858	745,529
2020	232,551	70,676	161,875	583,655
2021	232,551	55,330	177,220	406,435
2022	232,551	38,530	194,021	212,414
2023	232,551	20,137	212,414	0

Income Statement

Table 36 Income Statement

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Revenues										
Sales Revenues	655,200	674,856	695,102	775,618	860,339	886,149	977,929	1,074,418	1,106,650	1,211,090
Gross Operating Revenues	655,200	674,856	695,102	775,618	860,339	886,149	977,929	1,074,418	1,106,650	1,211,090
Operating Expenses	(287,373)	(297,252)	(307,480)	(333,819)	(361,477)	(373,799)	(403,763)	(435,205)	(449,928)	(483,969)
Gross Operating Profit	367,827	377,604	387,622	441,799	498,862	512,350	574,166	639,213	656,722	727,121
Gross Profit Percentage	56%	56%	56%	57%	58%	58%	59%	59%	59%	60%
Salaries and Benefits (Indirect Staff)	(76,640)	(79,782)	(83,053)	(86,458)	(90,003)	(93,693)	(97,535)	(101,534)	(105,697)	(110,030)

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
General and Administraive Expenses	(14,468)	(14,902)	(15,349)	(15,809)	(16,284)	(16,772)	(17,275)	(17,793)	(18,327)	(18,877)
Markeing Expenses	(16,380)	(16,871)	(17,378)	(19,390)	(21,508)	(22,154)	(24,448)	(26,860)	(27,666)	(30,277)
Pre Operating Expenses	(7,700)									
Gross Indirect Expenses	(115,188)	(111,555)	(115,780)	(121,658)	(127,795)	(132,619)	(139,258)	(146,188)	(151,690)	(159,185)
Income before Interest, Depreciation and Tax	252,640	266,048	271,842	320,140	371,067	379,731	434,908	493,025	505,032	567,937
Fixed Assets Depreciations	(73,186)	(73,496)	(73,820)	(74,160)	(74,514)	(74,885)	(75,274)	(75,680)	(76,105)	(76,549)
Income before Tax and Interests	179,454	192,552	198,022	245,981	296,553	304,846	359,634	417,345	428,927	491,387
Bank Interests	(84,693)	(70,676)	(55,330)	(38,530)	(20,137)	(0)	(0)	(0)	(0)	(0)
Income Before Tax	94,761	121,876	142,691	207,451	276,416	304,846	359,634	417,345	428,927	491,387
Income Tax	(4,738)	(6,094)	(7,135)	(10,373)	(13,821)	(15,242)	(17,982)	(20,867)	(21,446)	(24,569)
Net Profit	90,023	115,782	135,557	197,078	262,595	289,603	341,652	396,478	407,481	466,818
Net Profit Percentage	14%	17%	20%	25%	31%	33%	35%	37%	37%	39%
Compulsory Reserves	(9,002)	(11,578)	(13,556)	(19,708)	(26,259)	(28,960)	(34,165)	(39,648)	(40,748)	(46,682)
Retained Earnings	81,020	185,224	307,226	484,596	720,931	981,575	1,289,062	1,645,892	2,012,625	2,432,761

Expected Cashflows Statement

The table belwo summarizes project cashflows statement, where net cash flows are positive during all years as below:

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Table 37 Expected Cashflows

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Cash flows from operating activities										
Net profit (loss)	90,023	115,782	135,557	197,078	262,595	289,603	341,652	396,478	407,481	466,818
Non-monetary adjustments										
Bank benefits	84,693	70,676	55,330	38,530	20,137	0	0	0	0	0
Consumption	73,186	73,496	73,820	74,160	74,514	74,885	75,274	75,680	76,105	76,549
Operating cash flows before changes in working capital	247,901	259,954	264,708	309,768	357,246	364,489	416,926	472,158	483,585	543,367
Shortage (increase) in inventory	(8,190)	(246)	(253)	(1,006)	(1,059)	(323)	(1,147)	(1,206)	(403)	(1,306)
(Decrease) increase in accounts payable	31,515	1,155	1,198	2,377	2,492	1,408	2,699	2,828	1,648	3,062
Change in working capital	23,325	909	945	1,371	1,433	1,086	1,552	1,622	1,245	1,757
Net cash flows (used) from operating activities	271,227	260,864	265,653	311,138	358,679	365,575	418,478	473,780	484,831	545,124
Cash flows from investing activities										
(Purchase) of fixed assets	(1,670,488)	(3,102)	(3,244)	(3,392)	(3,548)	(3,711)	(3,882)	(4,061)	(4,249)	(4,446)
Net flows (used) from investment activities	(1,670,488)	(3,102)	(3,244)	(3,392)	(3,548)	(3,711)	(3,882)	(4,061)	(4,249)	(4,446)
Cash flows from financing activities										
Equity capital	893,387									
Loan Amortization	(147,858)	(161,875)	(177,220)	(194,021)	(212,414)	0	0	0	0	0
Bank Interest Rate	(84,693)	(70,676)	(55,330)	(38,530)	(20,137)	(0)	(0)	(0)	(0)	(0)

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Loans	893,387	0	0	0	0	0	0	0	0	0
Net cash flows (used) from financing activities	1,554,223	(232,551)	(232,551)	(232,551)	(232,551)	0	0	0	0	0
Net increase (decrease) in cash	154,963	25,211	29,859	75,196	122,580	361,864	414,596	469,719	480,582	540,678
Cashflows at the Beginning of Period	0	154,963	180,174	210,033	285,228	407,808	769,672	1,184,268	1,653,987	2,134,569
Cashflows at the End of Period	154,963	180,174	210,033	285,228	407,808	769,672	1,184,268	1,653,987	2,134,569	2,675,247

Expected Balance Sheet

The balance sheet is one of the main statements which the project depends on, as it reflects the financial position of the entity and is usually estimated on the last day of the financial year.

All financial information and analysis of the project shall be the estimated for the years (2018-2027) as shown in the table below:

Table 38 Expected Balance Sheet

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Assets										
Current assets										
Fund	154,963	180,174	210,033	285,228	407,808	769,672	1,184,268	1,653,987	2,134,569	2,675,247
Inventory	8,190	8,436	8,689	9,695	10,754	11,077	12,224	13,430	13,833	15,139
Total assets traded	163,153	188,610	218,721	294,923	418,563	780,749	1,196,493	1,667,417	2,148,402	2,690,386
Non-current assets										
Fixed assets (net)	1,597,302	1,526,908	1,456,331	1,385,564	1,314,597	1,243,423	1,172,031	1,100,412	1,028,557	956,454

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total non-current assets	1,597,302	1,526,908	1,456,331	1,385,564	1,314,597	1,243,423	1,172,031	1,100,412	1,028,557	956,454
Total assets	1,760,455	1,715,518	1,675,053	1,680,487	1,733,160	2,024,172	2,368,523	2,767,830	3,176,959	3,646,839
Liabilities	-	-	-	-	-					
Current liabilities										
Payables	31,515	32,671	33,869	36,246	38,738	40,146	42,846	45,674	47,322	50,384
Remaining amount of Loan	161,875	177,220	194,021	212,414	(0)	(0)	(0)	(0)	(0)	0
Total current liabilities	193,390	209,891	227,890	248,660	38,738	40,146	42,846	45,674	47,322	50,384
Non-current liabilities										
long term loans	583,655	406,435	212,414	0	0	0	0	0	0	0
Total long - term liabilities	583,655	406,435	212,414	0	0	0	0	0	0	0
Total liabilities	777,045	616,326	440,304	248,660	38,738	40,146	42,846	45,674	47,322	50,384
Property rights										
Member Contributions	893,387	893,387	893,387	893,387	893,387	893,387	893,387	893,387	893,387	893,387
Compulsory reserve	9,002	20,580	34,136	53,844	80,103	109,064	143,229	182,877	223,625	270,307
Profit (loss) round	81,020	185,224	307,226	484,596	720,931	981,575	1,289,062	1,645,892	2,012,625	2,432,761
Total equity	983,410	1,099,192	1,234,749	1,431,827	1,694,422	1,984,025	2,325,678	2,722,156	3,129,637	3,596,455
Total liabilities and equity	1,760,455	1,715,518	1,675,053	1,680,487	1,733,160	2,024,172	2,368,523	2,767,830	3,176,959	3,646,839

Feasibility Indicators

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There are more than one method to calculate the discounted cash flow statement. However, in this study, WACC was used to calculate the discounted cash flows and net investment value. The Company's financing structure is based on equity and loans, therefore the discounted rate should be adjusted according to WACC based on the following assumptions, the following table illustrates the net expected free cash flow of the project:

Table 39 Free Net Cash flows Table

Net Cashflows	Before Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	Final Value
Net Free Cashflows	(1,786,774)	278,927	257,762	262,409	307,746	355,131	361,864	414,596	469,719	480,582	540,678	6,449,936
Discount Factor	1.00	0.70	0.62	0.55	0.49	0.43	0.38	0.34	0.30	0.27	0.24	0.24
Net Present Value for Cash	(1,786,774)	194,765	159,678	144,216	150,049	153,616	138,867	141,152	141,875	128,778	128,534	1,533,332

Table below (40) illustrates payback period for the project, as it is one of the indicators which investors care about before taking the investment decision as they need to know when the project will return the invested amount of money. Payback period definition is the total required period so that the project generates a total money equal to the total invested capital expenditure, as investor is always looking to return the full invested amount of money at the earliest possible.

Table 40 payback period

Payback Period	Before Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Net Free Cashflows	(1,786,774)	278,927	257,762	262,409	307,746	355,131	361,864	414,596	469,719	480,582	540,678
Project Value Returned	1,786,774	1,507,847	1,250,085	987,676	679,930	324,799	(37,065)	(451,661)	(921,380)	)	(1,942,640)
Payback Period (Year)	5	1	1	1	1	1	0	0	0	0	0

Table 41 Financial Analysis Results

Weighted Average Cost of Capital (WACC)	%12.72
Net Present Value for Cashflows	1,228,087
Payback Period	5
Internal Rate of Return	%24.08

Sensitivity Analysis

Sensitivity analysis is conducted to investigate the effects of changes in significant inputs of the financial analysis. This includes changes in revenues, total investment costs, and operating costs.

Conclusions and Recommendations

Based on the profitability analysis and considering that project internal rate of return is higher than WACC, it is concluded that the project is feasible as the net present value for the project is positive 1,385,512 Jordan Dinars considering that the project provides 22 Job Opportunities for the governorate residents.

Table 42 Sensitivity Analysis

Sensitivity Analysis	Internal Rate of Return	Payback Period	WACC
Original Scenario	%24.08	5	12.72%
Revenues declined by 10%	%21.0	6	12.72%
Operating Expenses Increased by 10%	%22.2	6	12.72%